

US PRE-MARKET BRIEFING

Monday, June 1, 2026

Data as of May 29, 2026 close | Futures as of June 1 AM

1. EXECUTIVE SUMMARY

US equity futures are pointing to a positive open as markets return from the Memorial Day weekend. The S&P 500 and Nasdaq closed at record highs on Friday, buoyed by tech strength and a de-escalation in US-Iran tensions. However, significant macro risks persist: the Strait of Hormuz remains effectively closed, keeping oil prices elevated (~17% above year-ago levels for WTI), while Treasury yields remain stubbornly high with the 10Y at 4.45%. This week is packed with tier-1 economic data -- ISM Manufacturing (Monday), ISM Services (Wednesday), and Nonfarm Payrolls (Friday) -- any of which could rattle the market's comfortable narrative. The VIX at 15.32 reflects dangerous complacency given the geopolitical and inflationary backdrop.

2. MARKET SNAPSHOT

Asset	Level	Change	Source
S&P 500 Index	7,580.06	+0.22%	Yahoo Finance
Dow Jones Industrial Avg	51,032.46	+0.72%	Yahoo Finance
Nasdaq Composite	26,972.62	+0.20%	Yahoo Finance
Russell 2000	2,919.34	-0.59%	Yahoo Finance
S&P 500 Futures (ES=F)	7,595.75	+0.18%	Yahoo Finance
Nasdaq 100 Futures (NQ=F)	30,405.25	+0.32%	Yahoo Finance
Dow Futures (YM=F)	51,077.00	+0.66%	Yahoo Finance
VIX	15.32	-2.67%	Yahoo Finance
US 10-Year Treasury Yield	4.45%	-0.01 bp	TradingEconomics
US 2-Year Treasury Yield	3.98%	-0.02 bp	YCharts
10Y-2Y Spread	+0.47%	--	Calculated
WTI Crude Oil	\$87.36/bbl	-1.73%	TradingEconomics
Brent Crude Oil	\$91.12/bbl	-1.70%	Yahoo Finance
Gold (Spot)	\$4,541/oz	+1.02%	TradingEconomics
Copper	\$6.36/lb	-0.57%	TradingEconomics
US Dollar Index (DXY)	98.91	-0.11%	Yahoo Finance
Bitcoin	\$73,416	-0.67%	Yahoo Finance

Data Notes: Index levels, VIX, and commodity prices reflect Friday May 29, 2026 close. Futures prices reflect pre-market trading as of ~9:40 AM ET June 1. Treasury yields reflect May 29 market close per Advisor Perspectives.

3. KEY THEMES

Theme 1: GEOPOLITICS -- IRAN WAR / STRAIT OF HORMUZ

The 2026 US-Israel conflict with Iran has led to the closure of the Strait of Hormuz, the largest disruption to global energy supply since the 1970s oil crisis. The International Energy Agency has called it the 'largest supply disruption' in history. Oil tanker traffic may NOT return to prewar levels even if a peace deal is reached (CNBC, May 30). This is not a temporary shock -- it is a structural repricing of energy that will feed into inflation for months, if not years. WTI at \$87 and Brent at \$91 remain ~44% and ~45% above year-ago levels respectively.

Theme 2: FED ON HOLD, BUT THE STORY IS SHIFTING

The CME FedWatch Tool shows ~99% probability of NO rate change at the June 16-17 FOMC meeting. The Fed Funds rate sits at 3.50-3.75%. However, Morningstar reports 70% odds of a RAISE by year-end -- the market is underpricing this risk. The communication gap between the Fed's sticky-inflation reality and the market's rate-cut hopes is the single biggest divergence in financial markets right now.

Theme 3: STAGFLATIONARY GDP DATA IS A WARNING SHOT

US Q1 2026 GDP second estimate was revised DOWN to 1.6% annualized from the initial 2.0%, missing expectations. This follows Q4 2025's dismal 0.5%. The narrative was that Q1 'rebounded' -- but 1.6% is not a rebound, it is stagnation. Combine this with ISM Services prices at 70.7 (the highest readings since 2022-2023) and you get a stagflationary picture: weak growth + sticky inflation + rising energy costs = the Fed cannot cut regardless of what the market wants.

Theme 4: RECORD EQUITY VALUATIONS vs. REALITY CHECK

The S&P 500 closed at 7,580 (record high), the Dow at 51,032 (record high), and the Nasdaq at 26,972 (record high). The forward P/E on the S&P 500 is approximately 22-23x, well above the historical average of ~16x. Professor Damodaran has repeatedly warned that at these levels, 'there is no hiding' from a geopolitical or valuation shock. The VIX at 15.32 -- near 52-week lows -- tells you the market is not pricing in ANY disruption.

3. KEY THEMES (CONTINUED)

Theme 5: GOLD'S STRUCTURAL BULL MARKET

Gold surged past \$4,500/oz, now up ~38% year-over-year. This is NOT just a safe-haven bid from the Iran conflict. It is a structural shift: central banks (particularly China, India, and EM sovereigns) have been aggressively buying gold for 3+ years, de-dollarizing reserves, and retail demand is robust. Every dip is being bought. The fact that gold has held near \$4,500 even as the dollar has not collapsed tells you this is a genuine store-of-demand story.

Theme 6: DOLLAR WEAKNESS -- DXY BELOW 99

The DXY at 98.91 is down from its 2025 highs above 104-105 and briefly dipped below 98. This reflects: (a) rate-cut expectations weighing on the dollar, (b) post-US-Iran activity in Europe and Asia pushing EUR and safe havens higher, and (c) a broad diversification away from USD reserves. A weaker dollar is a double-edged sword: it supports US multinationals but imports inflation via more expensive commodities and makes Treasury purchases by foreigners less attractive.

Theme 7: SMALL-CAP UNDERPERFORMANCE -- A HEALTH WARNING

The Russell 2000 closed Friday at 2,919, DOWN 0.59% on the day while large caps posted gains. Historically, small-cap underperformance during periods of geopolitical stress and high rates is a leading indicator of economic stress. Small caps are more domestic, more rate-sensitive, and less liquid than large caps -- their weakness suggests the market's near-term risk appetite is much thinner than the S&P 500's record close implies.

4. WHAT TO WATCH TODAY (MONDAY, JUNE 1)

All times Eastern (ET) | Bangkok = ET+11

Time	BKK	Event	Impact
08:30	19:30	MBA Mortgage Applications	Medium
09:45	20:45	S&P Global Mfg PMI Final (May)	Medium
10:00	21:00	ISM MANUFACTURING PMI (May)	***HIGH***
10:00	21:00	ISM Mfg New Orders (May)	High
10:00	21:00	Construction Spending (April)	Medium
13:00	00:00	Dallas Fed Mfg Survey (May)	Low

ISM Manufacturing PMI -- Key Details

Prior: 52.7 | Consensus: ~51.5-52.0. This is the big one today. A reading below 50 (contraction) would torpedo the equity rally immediately. Watch the Prices Paid sub-index: it was 70.7 in the Services equivalent -- if it is above 65 here, inflation fears escalate.

Ongoing: US-China Trade / Iran Diplomacy

Trump-Xi summit developments remain wild cards. Any headline on tariffs or rare earths delivery could move markets sharply.

5. THE HARD TRUTH -- A DAMODARAN LENS

THE COMPLACENCY TAX IS BEING ASSESSED AND YOU ARE PAYING IT

The VIX at 15.32 means the market is paying almost nothing to hedge. You are long gamma at the worst possible time. Damodaran has spent years modeling the relationship between equity risk premiums and VIX levels; at VIX=15, the implied equity risk premium is compressed to ~4-4.5%, which implies you are being compensated LESS for risk than at almost any point since 2000.

Hedge funds are leveraged long. Passive flows are the marginal price-setting mechanism. This market has no sellers with conviction. That means when a seller finally shows up -- whether it comes from a negative ISM surprise, a Hawkish Fed speaker, or a flare-up in the Strait -- the move will be sharp, fast, and your stop-loss will not protect you because the bid will simply vanish.

THE BULL CASE IS BULL

The bull case on US equities requires: (a) Iran war resolved quickly with oil returning to sub-\$70, (b) Fed cutting rates in H2 2026, (c) AI capex translating into earnings growth, (d) soft landing. What is the probability all four happen? Assign each a 60% probability (which is generous) and you get 13%. That is your probability that the bull case plays out. The base case -- which is stagflation, sticky rates, moderating growth -- is far more likely and the market is NOT pricing it.

THE TREASURY MARKET IS SENDING A SIGNAL YOU ARE IGNORING

The 10Y at 4.45% and 2Y at 3.98% with a 47 basis point positive slope tells you the bond market is NOT buying the rate-cut narrative. The last time yields were at these levels with the equity market at record highs, it was Q3 2023 -- followed by a sharp Q4 selloff. The bond market has been right more often than the equity market about the direction of economic fundamentals.

5. THE HARD TRUTH (CONTINUED)

WHAT YOU SHOULD ACTUALLY DO

1. TRIM LONG EQUITY EXPOSURE by 5-10%. You are not selling the farm; you are rebalancing a portfolio that has gone overweight equities via price appreciation. Sell what has outperformed.
2. DE-EMPHASIZE MEGA-CAP TECH CONCENTRATION. The equal-weight S&P 500 has significantly underperformed the cap-weighted index. Your portfolio is effectively a concentrated bet on 7-10 names disguised as 'broad market index funds.'
3. ADD TO REAL ASSETS / ENERGY. The Iran war is not over. The Strait of Hormuz closure is structural, not cyclical. Energy equities are cheap relative to spot oil prices -- they are pricing in a Iran resolution that may not come for quarters. This is an asymmetric bet.
4. SIZE GOLD POSITION AT 5-10% MINIMUM. Gold at \$4,500 is not expensive in a world where central banks are de-dollarizing, wars are commodity-supply disruptive, and fiat currencies are being debased globally. Gold is not a hedge -- it is insurance against a broken system.
5. CARRY CASH. This is not the time to be fully invested. 5-7% cash is not 'dead money' -- it is 'dry powder' for a market correction that is overdue. Every 5% correction in the last 12 months has been bought. Next time may be different because the macro backdrop is deteriorating, not improving.

6. WEEKLY CALENDAR (JUNE 1-6, 2026)

Day	Time	Release	Impact
MON	08:30	MBA Mortgage Applications	Medium
MON	09:45	S&P Global Mfg PMI Final (May)	Medium
MON	10:00	ISM MANUFACTURING PMI (May)	***HIGH***
MON	10:00	ISM Mfg New Orders (May)	High
MON	10:00	Construction Spending (April)	Medium
MON	13:00	Dallas Fed Mfg Survey (May)	Low
TUE	08:30	Factory Orders (April)	Medium
TUE	10:00	JOLTS Job Openings (April)	High
TUE	--	Fed Speakers (varying)	Medium
WED	08:15	ADP Employment Report (May)	High
WED	10:00	ISM SERVICES PMI (May)	***HIGH***
WED	--	Fed Beige Book (if scheduled)	Medium
THU	08:30	Initial Jobless Claims (Weekly)	Medium
THU	--	Trade Balance (April)*	Medium
FRI	08:30	NONFARM PAYROLLS (May)	***HIGH***
FRI	08:30	Unemployment Rate (May)	***HIGH***
FRI	08:30	Average Hourly Earnings (May)	***HIGH***

* Trade balance date uncertain; verify specific release date.

DISCLAIMER: This briefing is for informational purposes only and does not constitute investment advice. Data sourced from Yahoo Finance, TradingEconomics, CNBC, CME FedWatch, Reuters, Advisor Perspectives, and other public sources. Cross-verification performed where possible. All data reflects most recent available as of compilation time (~9:40 AM ET, June 1, 2026).